

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

CP3 - Communication Practice

May 2025

Indicative Solution

Introduction

The indicative solution has been written by the Examiners with the aim of helping candidates. The solutions given are only indicative. It is realized that there could be other points as valid answers and examiner have given credit for any alternative approach or interpretation which they consider to be reasonable.

Q. 1) Board Paper: “Impact of Global Tariff War on the Risks Faced by SUBU Life Insurance”

Date:

To: Board Members of SUBU Life Insurance

From: Chief Risk Officer (CRO)

Executive Summary

Recent global tariff escalations have created significant volatility in financial markets. As a tech-led insurer operating with AI-intensive infrastructure, SUBU Life is particularly exposed to risks arising from falling equity markets, rising interest rates, and increased costs due to AI chip cost increases and shortages. This paper outlines the impact on risks faced, implications on profitability and solvency, presents scenario testing outcomes, and recommends risk mitigation strategies.

Key Developments that have happened due to Global Tariff War**1) Equity Markets Decline**

- Market volatility has led to declining equity asset values, particularly affecting ULIPs and participating products
- Reduction in asset values lowers income, affecting profitability

2) Rising Interest Rates

- Interest rate hikes have caused mark-to-market losses in bond portfolios.
- ALM mismatch risk increases, especially for guaranteed retirement and pension products.
- New business strain may increase as product pricing may lag market rate movements.

3) AI Chip Supply Disruption

- Global tariffs war has triggered market turmoil impacting AI chips shortage, potential ban and increase in costs
- As many of the operations in the company like underwriting, ALM, claims management are done using AI, this can lead to operational issues.
- The increase in cost of AI chips and/or its shortage, would impact company's profitability and hence solvency.

Strategy risks faced by the company

- SUBU Life is a new age tech-driven insurer competing with legacy insurance companies with its strategy to serve solutions using new age technologies like AI which are dependent on AI Chips and cloud infrastructure
- With rising costs of the AI ecosystem and supply disruptions, the whole USP of SUBU Life insurance is at stake
- It's rapidly expanding and increasing its market share from the current 5% but is highly dependent on its tech-enabled operating model to continue its high growth
- Having lower capital buffers than legacy firms, it faces threat of decrease in profitability and becoming insolvent because of market volatility and decrease in sales post losing its USP.

Financial Impacts of Scenario Testing

- Scenario testing has been done for three types of scenarios (with base of FY 24)
- This is done to assess the impacts of different possible scenarios on the company's profitability and solvency ratio, helping it to better understand the risks it faces and take appropriate mitigating actions.:

Scenario	Probability	Equity Market Decline	Interest Rate Hike	AI Chip Cost Increase	Profitability Impact	Solvency Ratio
Low Risk	50%	-10%	+50 bps	+20%	-15%	132%
Moderate Risk	30%	-20%	+100 bps	+40%	-30%	110%
High Risk	20%	-30%	+150 bps	+60%	-75%	88%

- Company's internal targeted solvency ratio is 130% and regulatory minimum is 100%
- Current market scenario is close to the Low-Risk Scenario. Under this scenario, the company continues to meet both the internal and regulatory targets of solvency ratio.
- However, under moderate risk company breaches the internal target and under high risk, company breaches both the internal and regulatory targets of solvency ratio.
- As these scenarios also have a high probability, company needs to take risk mitigation steps to avoid breach of both the targets of solvency ratio and minimise impact on profitability

Suggestions for Risk Mitigation

Some of the immediate steps the company can take to remain solvent with a high probability are:

1. Infusion of capital
 - As the company has a lower capital buffer and faces risk of breaching the internal target of solvency ratio with a 50% probability, the company should look into infusing capital
2. Reduce Global tech dependency
 - The company should reduce its dependency on global AI ecosystem and try to leverage locally available technologies. This can reduce overall costs and impact from supply disruptions.
3. Increased monitoring of financial markets and operating costs
 - There is an increased need to do increase the monitoring of financial markets and operating costs and take swift actions to hedge the risks like buying derivatives, entering into interest rate swaps and having fixed cost contracts with penalties.

[90 Marks]

Q.2)

i) Structure of your response

The structure of the response follows the format of a Board report:

- Executive summary for clarity
- Key Developments for the Board members to understand the context
- Financial impacts in a tabular form for easy comparison and to focus on main parameters

- Recommendations given to suggest immediate solutions
- This structure allows Board members to follow a natural and logical order and prioritize decisions

(3)

ii) Depth of the explanation

- Depth was chosen to balance technical accuracy and board member level financial details
- Actuarial Technical terms and explanation was made simpler.
- Impact on solvency and profitability presented in tabular form for ease of understanding
- Avoiding technical explanation of how a fall in equity leads to reduced profitability
- Focusing on risk faced by the strategy of the company – something that the board members will easily understand
- Giving recommendations in a plain language for greater understanding and decision making

(5)

iii) Filtering Information

- Focus was on key impact areas – solvency and profitability as asked in the question
- Product features were not needed to be discussed, so skipped that
- Avoided restating what would already be known to board members like broad level investment strategy

(2)

[10 Marks]
